



East African Breweries Limited

F'11 Half Year Results

Investor Briefing

Seni Adetu – Group Managing Director & CEO
Peter Ndegwa – Group Finance Director

18th Feb 2011



Our full blown portfolio...

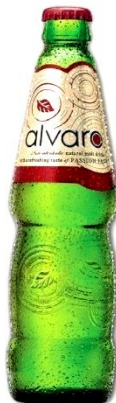
Spirits & Wines



Beers



Non- Alcoholic Adult Beverages



Our Half Year Story...

18th Feb 2011

We have had a very exciting 1st half of fiscal year F'11

- ✓ Top line and bottom line financials grew and we generated a strong Cash out-turn
- ✓ Restructured our organization making it simpler, faster and better
- ✓ Acquired Serengeti Breweries Limited- 2nd largest in Tanzania
- ✓ Upgraded Capex investments including the new packaging line in Uganda
- ✓ Up weighted marketing investments in brand building and capability across the region
- ✓ Continued focus on governance and business ethics as well CSR initiatives

Sales Volume

+12 %

Net Sale Value

+10 %

Marketing Spend

+12 %

Operating Profit

+14 %

Profit before tax

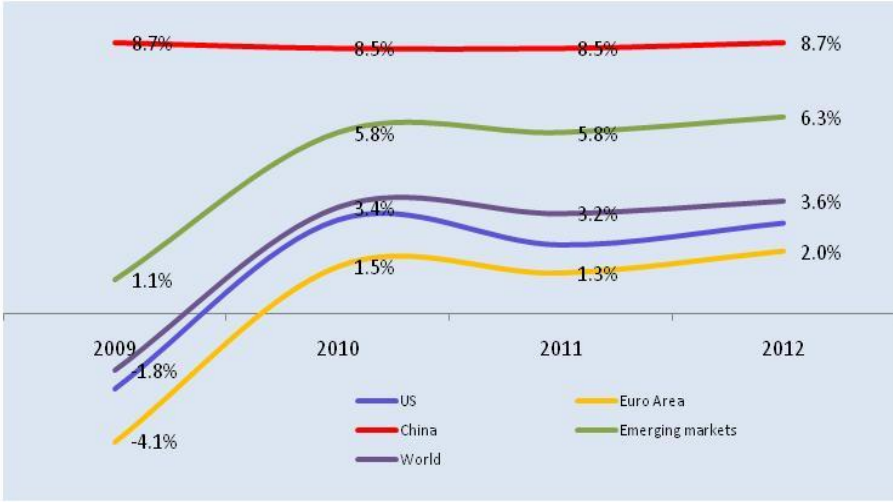
+3 %

Operating Cash flow

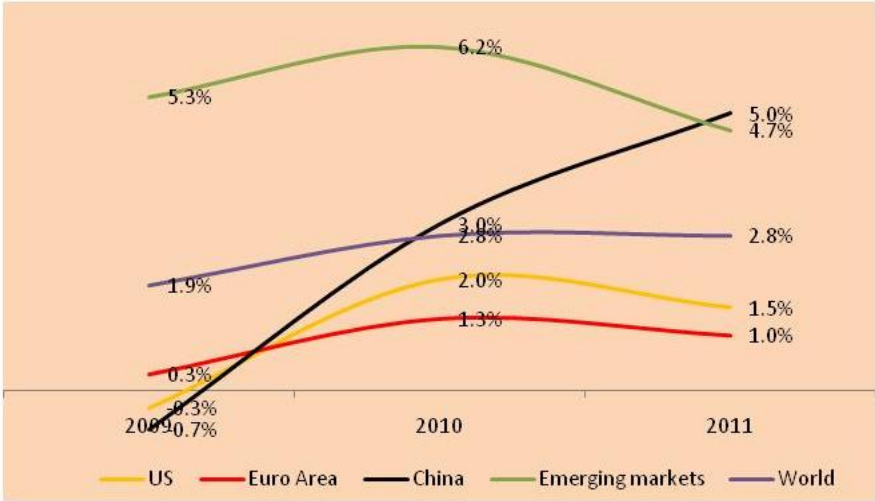
KES 6.7 bn

Growth was fuelled by strong macro-economic fundamentals

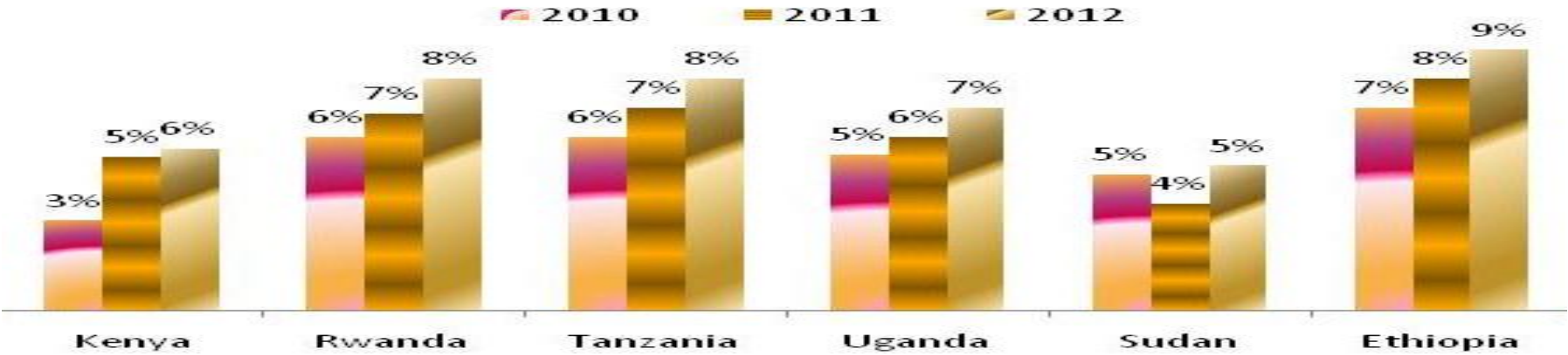
Global GDP Growth promising



In a stabilizing Global inflation



And into the Foreseeable Future in the East African Environment



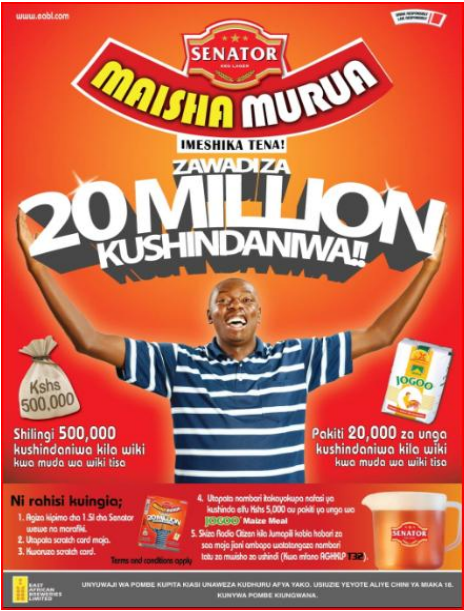
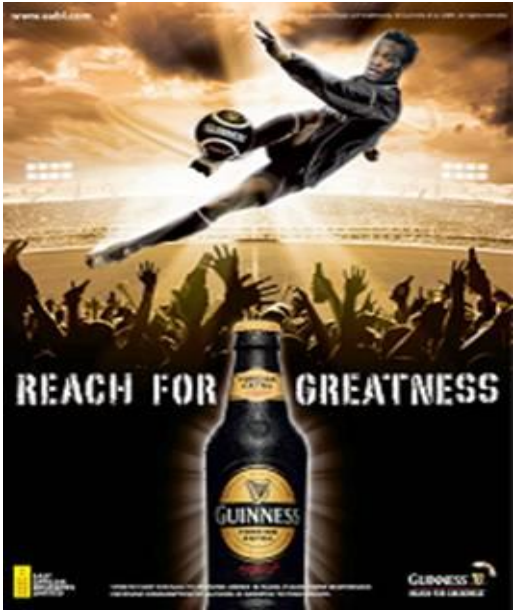
...such that all our core brands grew over LY



Anchored on key
sales &
marketing
platforms

- >Tusker Project fame 4
- >CECAFA foot ball challenge
- >Mentorships (JW)
- >Smirnoff outdoor campaigns
- >Senator Keg expansion footprint

on the back of impactful commercial interventions



Automate sales process

Central data point

Smart money

supported by strategic CAPEX investment & cost-value management

CAPEX

- > Installation of New packaging line in Uganda
- > Increased water storage facilities and optimising other utility facilities
- > Marsh filter in progress



Cost-value Management

- > Supply chain optimisation
- > Material/ingredient substitution strategies
- > Sorghum agenda – rolled out large-scale production after successful pilot runs



...an engaged work force and improved organisational effectiveness



Mini-conference forum



Team-building sessions

Key initiatives executed

- ✓ Restructured organization — simpler faster service delivery
- ✓ Mini-conference sessions
- ✓ Town hall forums...meet and greet informal settings
- ✓ Pro-active actions on value survey outcome
- ✓ Heightened safety awareness across our in-market companies
- ✓ Additional early career joiners & retention reward capability

as we heightened our “force for good” agenda...



- > Water of life programme
- > Skills for life initiative
- > Environment – Save the Mau
- > Responsible drinking campaign



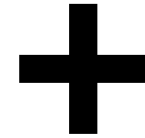
Financial Update

Peter Ndegwa – Group Finance Director

18th Feb 2011

EABL delivered strong Financial Performance ...

- ❑ **Rebounding economies** – good macro economic fundamentals, recovering business
- ❑ **Tax relief** on spirits – Great volumes growth
- ❑ **Stable cereal and energy prices** – less pressure on COGS



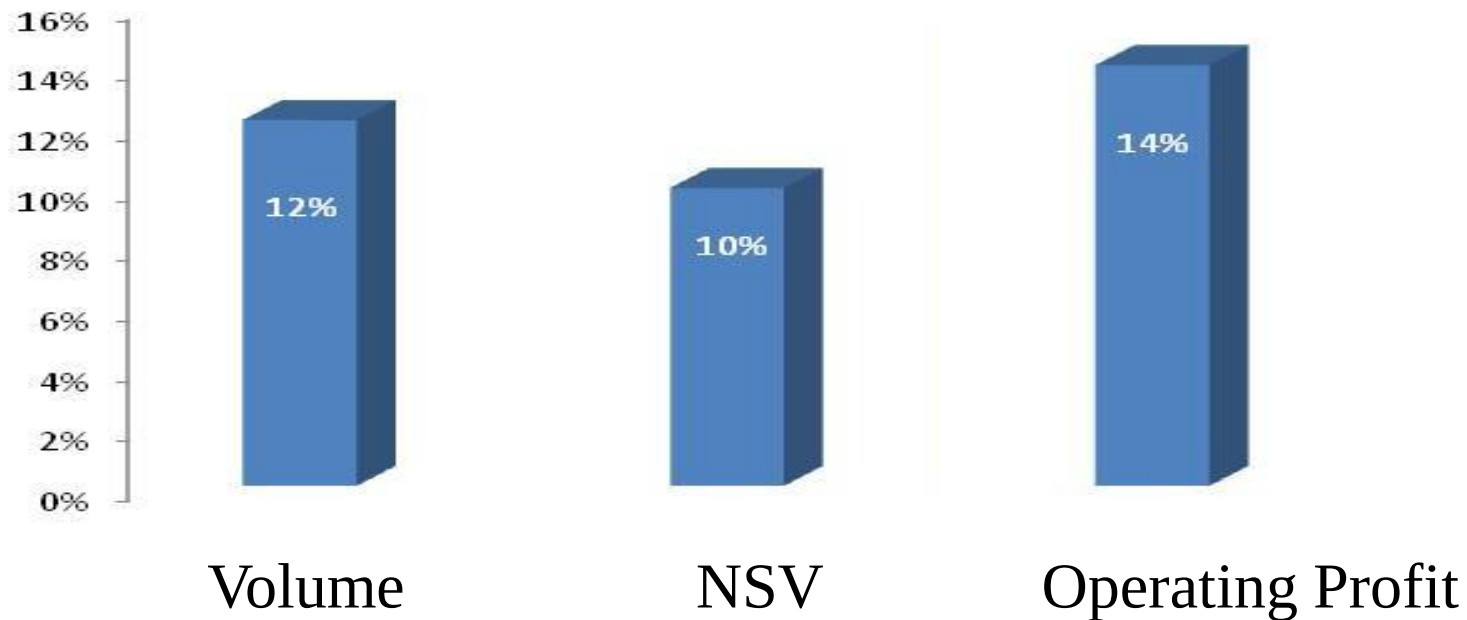
❑ **Political unease** – elections/referendum and political competition

❑ **Tougher Regulatory Landscape** - Alcoholic Drinks Controls Act in Kenya

❑ **Higher taxes** on premium and mainstream beer, negative impact on mix

Supported by growth on key fronts

Key KPI performance vs. LY

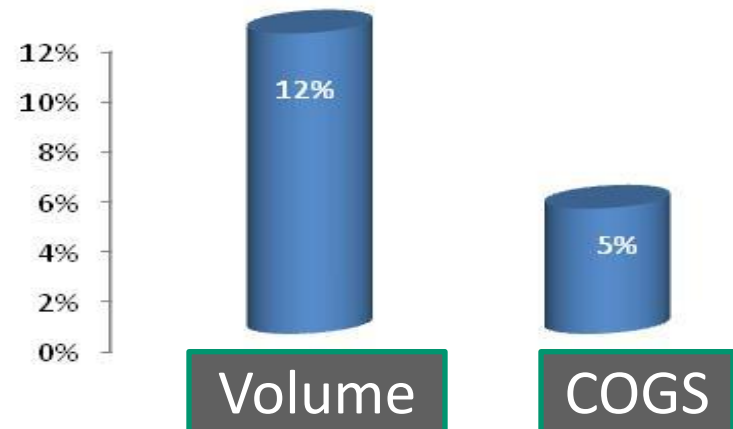


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- > Spirits volume rebounded supported by tax reprieve
 - > NSV affected by mix – increase in price of premium/mainstream brands
 - > Costs contained to deliver profit growth

And supported by great COGS savings delivery

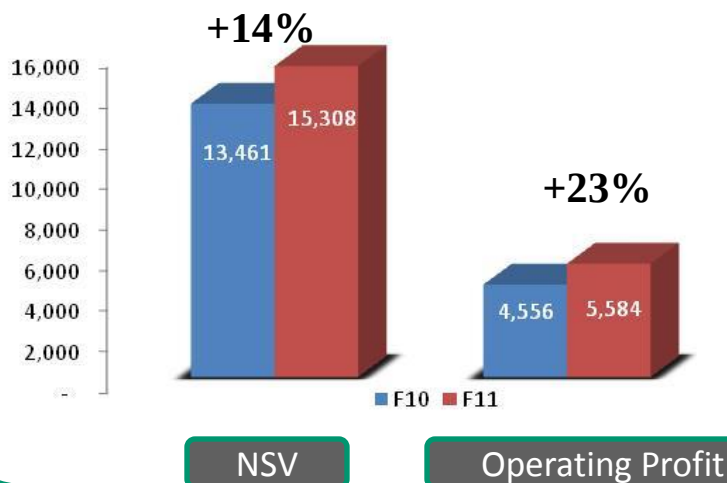
Overall COGS growth
below volume growth

Volume & COGS Growth

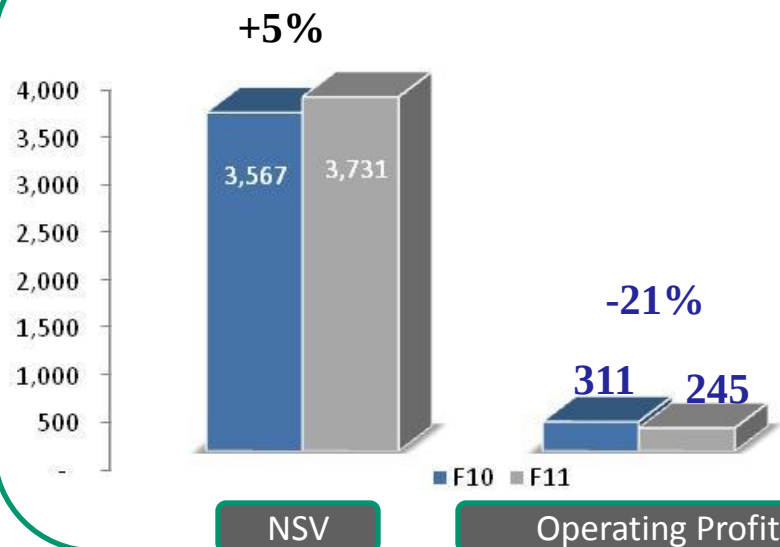


Kenya delivered the largest growth rates

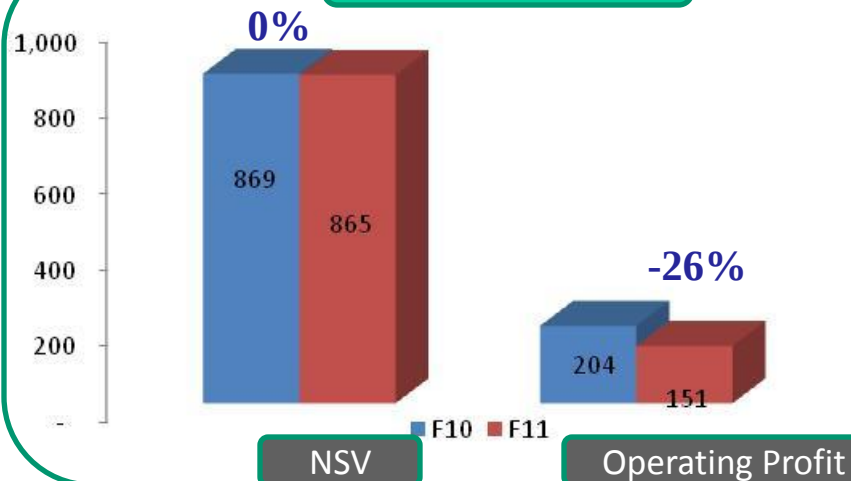
Kenya



Uganda



Great Lakes



- > Kenya – NSV up by 14%;
Operating Profit up by 23%
- > Uganda NSV up by 5%;
Operating Profit declined by 21%
- > Great Lakes – still challenging

Detailed results...

East African Breweries Limited Interim Financial Report for Six Month period ended 31 December 2010 (UNAUDITED)			
Consolidated Profit and Loss Account		Restated	
	Six months to 31-Dec-10 <u>Kshs M</u>	Six months to 31-Dec-09 <u>Kshs M</u>	Change %
Net Revenue	20,463	18,617	10%
Cost of Sales	(9,851)	(9,397)	5%
Gross profit	10,612	9,221	15%
Other operating expense	(301)	(408)	-26%
Selling and distribution costs	(1,494)	(1,353)	10%
Administrative expenses	(2,702)	(2,118)	28%
Profit from operations	6,115	5,341	14%
Net finance income	50	145	-66%
Income from associate	-	489	-100%
Profit before taxation	6,165	5,975	3%
Income tax expense	(2,013)	(1,752)	15%
Profit after taxation	4,152	4,223	-2%
Non controlling interest	(963)	(732)	32%
Net profit	3,189	3,491	-9%
Basic earnings per share	4.03	4.41	-9%
Diluted earnings per share	4.03	4.41	-9%

Proposed Interim Dividends.....

	F11 Kshs	F10 (actual) Kshs
Dividend per Share	2.50	2.50
Total payout	2BN	2BN

2nd -- Half Outlook

Seni Adetu – Group Managing Director & CEO

18th Feb 2011

We are intent at generating superior shareholder value...

Leveraging on..

- Growing economies
- Increasing population, growing middle class & affluence
- Increased integration (EAC)
- Strong brands & good reputation
- Spirits opportunity
- Headroom growth in new markets

&

Overcoming

- Regulatory concerns (Excise Tax/ Alcohol Act)
- Fiscal pressures in our markets
- Growing competition
- Political/security concerns in specific markets
- Operating cost challenges

In order to win in every market, and become the Most Celebrated Business in Eastern Africa

Strategic Focus Areas for H'2 and beyond...

- ✓ Premiumisation = Focus on Premium Spirits and Premium beer
- ✓ Brand equity enhancement
- ✓ Ruthless focus on supply and Cogs optimization
- ✓ Beating the competition and winning in new markets
- ✓ Route-to-Consumer capability upgrade and improved in-bar execution
- ✓ Amazing customer partnership
- ✓ Strengthening talent pipeline and capability
- ✓ Continued stakeholder engagement around restrictive regulation

In conclusion...

- > Considerable improvement in financial performance in half year with NSV, PBT all growing above LY
 - ❖ Recoded top line growth in Kenya and Uganda
 - ❖ Flagship brands grew in volume and had improved brand health

- > Performance was driven by:
 - ❖ Strong Performance in Spirits and mainstream beer
 - ❖ Increased investment in A&P and CAPEX
 - ❖ Continued focus on brand building and market development initiatives
 - ❖ Continued focus on Cogs

- > The future looks challenging but promising and there is reason to believe
 - ❖ Great people
 - ❖ Fantastic brands
 - ❖ Solid company reputation
 - ❖ Diageo expertise and support

Welcome Q&A Session

18th Feb 2011